Govt Postgraduate College Haripur

Department of Artificial Intelligence | Second Semester

SUBJECT

Professional Practices

ASSIGNMENT

Professional Compliance Report

Before Starting a Software Business

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1. Introduction

In today's digital world, software companies play an important role in shaping how people and businesses interact with technology. Our group is planning to start a software business that will develop websites, mobile applications, and artificial intelligence (AI) based tools for both local and international clients. Before starting real operations, it is necessary to understand and follow all legal, ethical, and professional requirements that apply to the IT industry in Pakistan.

This report is prepared as a compliance document that explains the key rules and responsibilities our company must follow. It covers important areas such as professional practices, cyber laws, intellectual property rights, anti-discrimination policies, and business registration requirements. These areas are essential for running a legal and successful software business.

Following professional and legal standards helps a company build trust with clients, protect its software products, and maintain a safe and fair working environment. For example, cyber laws protect against hacking and data misuse, while intellectual property laws ensure that original software and ideas are not copied illegally. Similarly, anti-discrimination policies ensure equal opportunities for all employees, and proper business registration ensures that the company operates legally under government rules.

Overall, this report provides a clear understanding of how a software company should be structured and managed in compliance with Pakistani laws and international professional standards. It acts as a foundation for building a responsible, ethical, and successful IT business.

Business Structure Comparison and Registration Process

Starting a software business in Pakistan requires choosing the right legal structure. The business structure affects ownership, liability, taxation, credibility, and growth potential. For a software company that develops websites, mobile applications, and AI tools, three main business structures are commonly used: sole proprietorship, partnership firm, and private limited company.

Business Form	Best Suited For	Legal Status	Liability	Authority
Sole Trader	Freelancer, consultant, or one-person software services business	Not a separate legal entity; owner and business are the same	Unlimited personal liability (owner is fully responsible for debt)	Federal Board of Revenue (FBR) for tax registration; local/provincial authorities for trade registration
Partnership Firm	Two or more people running a small or medium software business	Not a separate legal entity; based on partnership agreement	Unlimited liability for partners (joint responsibility)	Provincial Registrar of Firms; FBR (Association of Persons – AOP registration)
Private Limited Company	Software house, IT startup, or scalable tech company	Separate legal entity from owners/shareholders	Limited liability (shareholders are only responsible for invested capital)	Securities and Exchange Commission of Pakistan (SECP); FBR for tax

Explanation of Business Structures

1. Sole Proprietorship

A sole proprietorship is the simplest form of business where one person owns and manages the entire company. It is easy to start and has very low cost. This structure is suitable for freelancers or small software developers who work independently.

However, the biggest disadvantage is unlimited liability. This means the owner is personally responsible for all business debts and legal issues. If the company faces loss or legal action, the owner's personal assets can also be affected.

2. Partnership Firm

A partnership firm is formed when two or more individuals agree to run a business together. In software businesses, this is common when developers, designers, or business partners combine skills and capital.

The partnership is based on a legal document called a partnership deed. Although it is more flexible than a company, it still has unlimited liability. This means all partners are responsible for business debts, even if one partner causes the issue.

3. Private Limited Company

A private limited company is the most professional and structured business form. It is a separate legal entity, meaning the company exists independently from its owners.

This structure is best for software houses and startups that want to grow, attract investors, and work internationally. The main advantage is limited liability, meaning shareholders only lose the money they invested.

It also increases credibility with clients and international markets, making it ideal for a serious software business.

Practical Registration Process

A. Sole Proprietorship Registration Process

Choose a business name and define services (web, app, AI development).

Register as a taxpayer with the Federal Board of Revenue (FBR).

Obtain National Tax Number (NTN) if required.

Open a business bank account (optional but recommended).

Register for sales tax or professional tax if applicable in the province.

Maintain financial records, invoices, and file annual tax returns.

B. Partnership Firm Registration Process

Decide partners, capital contribution, profit-sharing ratio, and responsibilities.

Prepare a partnership deed on stamp paper.

Submit registration application to the Provincial Registrar of Firms.

Register the partnership as an Association of Persons (AOP) with FBR.

Open a partnership bank account.

Maintain proper accounting records and tax filings.

C. Private Limited Company Registration Process

Select a unique company name and check availability with SECP.

Prepare legal documents such as Memorandum and Articles of Association.

Submit incorporation application through SECP eZfile system.

Receive Certificate of Incorporation.

Register with FBR for tax and NTN.

Open a company bank account.

Maintain statutory records, file annual returns, and comply with corporate laws.

Recommendation

For a software startup that aims to work with both local and international clients, the Private Limited Company is the most suitable structure.

Reasons:

Limited Liability: Protects personal assets of owners.

Higher Credibility: Clients trust registered companies more than individuals.

Investment Opportunities: Easier to attract investors and expand business.

Scalability: Suitable for long-term growth and hiring teams.

Professional Image: Required for international contracts and software exports.

Although it has higher setup cost and compliance requirements, the benefits strongly outweigh the disadvantages for a serious IT business.

Cyber Crime Law in Pakistan

For a software business developing websites, mobile applications, and AI tools, understanding cyber crime law is not optional — it is essential. Every day, software developers, system administrators, digital marketers, and startup founders handle sensitive data, write code, manage servers, and interact with clients online. A single mistake can lead to criminal liability, heavy fines, or even imprisonment under Pakistan's Prevention of Electronic Crimes Act (PECA) 2016, as amended in 2025 .

This section provides two key resources for compliance:

(1) a comprehensive offence matrix covering major PECA violations relevant to IT professional.

(2) a detailed case brief analyzing a real cyber crime case with professional lessons.

PECA Offence Matrix

The following is a detailed explanation of major offences under the Prevention of Electronic Crimes Act 2016 (including 2025 amendments). Each entry includes the prohibited conduct, a practical example from computing practice, professional risk level, and recommended preventive control.

Unauthorized Access to Information System or Data

What is prohibited: Accessing any computer, network, or data without permission.

Example from practice: A developer tests a client's system for bugs without obtaining written authorization first.

Professional risk: High for all IT roles. Even "ethical testing" without permission is illegal.

Preventive control: Always obtain written penetration testing authorization before accessing any system.

Unauthorized Copying, Transmission or Use of Data

What is prohibited: Copying, downloading, or sharing data without rights.

Example from practice: A system administrator copies a client database to a personal drive before leaving the company.

Professional risk: Very high for system administrators and developers with database access.

Preventive control: Implement data loss prevention (DLP) tools; revoke access immediately upon employee departure.

Interference with Information System or Data

What is prohibited: Damaging, deleting, or altering data or systems without authorization.

Example from practice: A disgruntled employee deletes a production database or corrupts a source code repository.

Professional risk: High for developers, DevOps engineers, and system administrators.

Preventive control: Maintain offline backups; implement access controls and change logging.

Offences Involving Critical Infrastructure

What is prohibited: Attacking systems designated as critical infrastructure (power, water, banking, government).

Example from practice: A developer accidentally deploys vulnerable code that allows access to a bank's customer database.

Professional risk: Extreme for anyone whose code touches critical systems.

Preventive control: Strict compliance with security standards; regular security audits for critical projects.

Cyber Terrorism

What is prohibited: Using information systems to threaten national security or public order.

Example from practice: Hosting content that incites violence or threatens government institutions.

Professional risk: Extreme for web developers hosting client content and social media managers.

Preventive control: Content screening before hosting; understand client's content nature.

Electronic Forgery

What is prohibited: Creating or using false electronic documents with intent to deceive.

Example from practice: Creating fake payment receipts or forged certificates to deceive clients.

Professional risk: High for anyone handling financial documents or certificates.

Preventive control: Digital signatures for official documents; document verification protocols.

Electronic Fraud

What is prohibited: Using electronic means to deceive and obtain property or money.

Example from practice: Operating fake websites that impersonate legitimate businesses to steal payments.

Professional risk: High for digital marketers (must verify ad destinations) and founders (must vet business models).

Preventive control: Due diligence on all online transactions; avoid deceptive design patterns.

Identity Misuse and Impersonation

What is prohibited: Using another person's identity information without authorization.

Example from practice: Using a client's login credentials without permission to access their account or systems.

Professional risk: High for anyone with access to others' credentials.

Preventive control: Never share or reuse credentials; implement multi-factor authentication (MFA).

Unauthorized Issuance or Misuse of SIM / Device Identity

What is prohibited: Obtaining or using SIM cards or device identifiers fraudulently.

Example from practice: Using fake SIM cards to register accounts or bypass verification systems.

Professional risk: Medium for developers building SMS or verification systems.

Preventive control: Use official telecom gateways; implement SIM verification APIs.

Malicious Code, Malware or Harmful Programs

What is prohibited: Creating, distributing, or using viruses, worms, trojans, or other harmful code.

Example from practice: A freelancer unknowingly embeds malware in a client's website through compromised third-party libraries.

Professional risk: Very high for all developers, especially those using cracked software or unverified libraries.

Preventive control: Use only official software; scan dependencies for vulnerabilities; avoid cracked tools.

Unauthorized Interception or Surveillance

What is prohibited: Intercepting communications without legal authority.

Example from practice: A system administrator monitors employee emails or client communications without consent or legal basis.

Professional risk: High for system administrators and network managers.

Preventive control: Establish clear monitoring policies; obtain legal review before implementing surveillance.

Offences Against Dignity, Modesty or Privacy

What is prohibited: Sharing intimate images without consent; violating privacy of individuals.

Example from practice: A developer builds a website that allows non-consensual sharing of private photos or videos.

Professional risk: High for web developers and platform owners.

Preventive control: Content moderation systems; clear terms of service prohibiting such content.

Cyberstalking, Spamming and Spoofing

What is prohibited: Repeatedly harassing via electronic means; sending bulk unsolicited communications; forging sender identity.

Example from practice: A digital marketer sends bulk emails with forged "From" addresses to bypass spam filters.

Professional risk: Medium for digital marketers and social media managers.

Preventive control: Follow CAN-SPAM rules; use authenticated email (SPF, DKIM, DMARC); never spoof sender addresses.

Child Sexual Abuse Material (CSAM)

What is prohibited: Producing, possessing, distributing, or accessing CSAM.

Example from practice: A developer unknowingly hosts CSAM on a client's server due to lack of content screening.

Professional risk: Extreme for web hosts, cloud service providers, and content platforms.

Preventive control: Mandatory reporting; proactive content filtering; zero-tolerance policy.

False or Fake Information (Section 26A – 2025 Amendment)

What is prohibited: Intentionally sharing or spreading information known to be false that may cause fear, panic, or public disorder.

Example from practice: A social media manager for an AI tool company shares unverified claims about competitors or products that causes public panic.

Professional risk: Medium to high for social media managers, digital marketers, and founders making public statements.

Preventive control: Verify all claims before posting; maintain fact-checking process; avoid sensational content.

Penalties Summary

PECA offences carry penalties ranging from fines (e.g., up to **PKR 5 million** for identity misuse) to imprisonment (up to 3 years for many offences; up to 7 years or more for serious crimes like cyber terrorism). Under the 2025 amendments, certain offences are non-bailable and cognizable, meaning arrest without warrant is possible.

Cyber Crime Case Brief

Case Title: FIA v. Software Company CEO (Karachi, 2020)

Source: Federal Investigation Agency (FIA) Cyber Crime Reporting Centre, Karachi; FIR registered November 2020.

Facts of the Case

In November 2020, the Federal Investigation Agency (FIA) in Karachi received a confidential "source report" from the Counter Terrorism Wing about a sophisticated cybercrime network operating under the guise of a legitimate software development company. The company claimed to be a successful software house doing multi-million dollar business in web development services for international clients, having reportedly achieved a $2.5 million milestone.

Upon investigation, the FIA discovered that the company was running an elaborate fraud scheme targeting international clients, primarily Americans. The company operated multiple scam websites with fake UAN numbers and dummy addresses in the United States and United Kingdom — all while actually operating from an office in Karachi.

The modus operandi was as follows:

· The company contacted international clients offering web development and trademark registration services

· After gaining clients' trust, they would impersonate US government officials using fake IDs claiming to be from the US Patent and Trademark Office

· They would threaten clients that their businesses, products, or websites would be "shut down" or "blacklisted" unless they paid additional money

· They also engaged in unauthorized credit card charging — taking payments without client consent

· The company used illegal Hundi/Hawala channels and maintained over 12 bank accounts in suspects' names to launder the extorted money

The FIA raided the CEO's residence in DHA Phase VIII, Karachi, and later the company's head office in Business Avenue, Sharae Faisal. Forensic examination of seized laptops, mobile phones, servers, and hard drives revealed:

· Credit card information and security codes of international victims

· Voice recordings of clients complaining about unauthorized charges

· Fake and forged certificates purportedly from the US Patent and Trademark Office

· WhatsApp groups sharing stolen credit card information

· Evidence of money laundering through domestic and international accounts

Five suspects were arrested initially, with the network allegedly consisting of 21 members.

Legal Issues and Relevant Provisions

The FIR was registered under multiple laws:

· Prevention of Electronic Crimes Act (PECA) 2016 – Sections covering electronic fraud (obtaining property through deception), identity impersonation (using fake government IDs), unauthorized data access and use (client credit card information), and electronic forgery (fake USPTO certificates)

· Pakistan Penal Code – Provisions for cheating and forgery

· Anti-Money Laundering Act 2010 – For laundering extorted funds through bank accounts and Hawala/Hundi channels

Decision and Current Status

The CEO was arrested from his DHA residence, and his laptops and mobile phone were confiscated for forensic analysis. The FIA conducted a second raid at the company's head office, seizing additional digital equipment. The suspects' names were placed on the Exit Control List (ECL), preventing them from leaving Pakistan.

While the complete trial outcome is not publicly detailed in available sources as of 2026, the case represents one of Pakistan's most significant cybercrime prosecutions against an IT company. It demonstrates the FIA's willingness to investigate and prosecute software businesses engaged in fraudulent activities, even those presenting themselves as legitimate enterprises.

Professional Lesson for Computing Students and IT Professionals

Lesson: Fraudulent business models disguised as legitimate IT services will be prosecuted — and forensic evidence is nearly always uncovered.

Five critical takeaways from this case:

1. Verify Your Employer's Business Practices Before Joining

The developers and IT staff working at this company may not have known about the fraud initially. However, once they saw suspicious patterns (fake US office addresses, impersonation scripts, unauthorized credit card charges), they became complicit by continuing to work there. If you see red flags, leave and report.

2. Never Implement or Support Identity Impersonation

The company created fake government IDs to impersonate USPTO officials. Whether you are a developer writing code for such systems or a system administrator maintaining servers, you are criminally liable for implementing impersonation features.

3. Credit Card Data Requires Extreme Care

The company was found with stolen credit card information shared in WhatsApp groups. As an IT professional, you must never handle, store, or transmit payment card data without proper PCI DSS compliance, encryption at rest and in transit, and explicit, documented authorization.

4. Legitimate Business Registration Does Not Shield Criminal Activity

The company was a properly registered software business. Having an NTN, bank accounts, and an office did not protect them. Compliance with business registration laws does not exempt you from criminal laws.

5. Forensic Evidence Will Be Recovered

The FIA's forensic teams found incriminating material on every seized device — voice recordings, chat logs, credit card data, fake certificates. Deleting files does not erase them from forensic analysis. Assume everything you do on work devices can be discovered in court.

Prevention Checklist for Your Software Business

· Implement a whistleblower policy allowing employees to report unethical practices anonymously

· Conduct background verification of all clients before building systems for them

· Never implement features that impersonate government officials or entities

· Maintain clear audit logs of all access to sensitive data

· Train all employees to recognize signs of fraud in client requests

· Document everything — especially authorizations and consent from clients.

Intellectual Property, Copyright and Software Licensing

Intellectual Property (IP) is one of the most important legal areas for a software company. It refers to the protection of creations made by the human mind, such as software, applications, websites, designs, and digital content. In a software business, intellectual property is very valuable because most products are created through creativity, coding skills, and technical knowledge.

For a company that develops websites, mobile applications, and AI tools, protecting intellectual property is essential. It ensures that the company's work cannot be copied, misused, or sold by others without permission.

Meaning and Importance of Intellectual Property

Intellectual Property refers to original creations such as software code, logos, inventions, databases, graphics, and written content. These creations have commercial value and are protected by law.

In the software industry, IP is important because:

It protects original software from being copied

It helps maintain business identity and trust

It encourages innovation and creativity

It prevents financial losses due to misuse or piracy

Without IP protection, competitors could easily copy software products and damage the original company's business.

Types of Intellectual Property

There are several types of intellectual property relevant to software companies:

Copyright protects original creative work such as source code, website content, graphics, and documentation.

Trademark protects brand identity such as company name, logo, and app names.

Patent protects technical inventions such as unique software systems or AI algorithms.

Industrial Design protects the visual appearance of products such as app interfaces and layouts.

Trade Secrets protect confidential business information like algorithms, client data, and internal processes.

Copyright Protection in Software

Copyright is the most commonly used protection in software development. It automatically protects original work created by developers.

Copyright applies to:

Software source code

Mobile applications

Website content and design

UI/UX graphics

Databases

Training materials and documentation

For example, if a company creates a unique AI tool, its code and documentation are automatically protected by copyright once created.

Originality in Software

Copyright protects the expression of an idea, not the idea itself.

This means:

Original code, designs, and content are protected

General ideas, methods, or concepts are not protected

For example, two developers can create similar apps like calculators or chat apps, but copying exact code or design is illegal.

Copyright Exceptions and Fair Use

Some limited use of copyrighted material is allowed under fair use or fair dealing principles.

Allowed uses may include:

Educational purposes

Research

Reviews or criticism

Public domain content

However, copying large portions of software code, graphics, or paid content without permission is illegal. Software companies must always verify the legal status of external materials before using them.

Software Piracy

Software piracy refers to illegal use, copying, downloading, sharing, or selling of software without permission.

Common examples include:

Using cracked software versions

Installing one licence on multiple systems illegally

Sharing paid software online

Using pirated tools for development

Piracy can lead to:

Legal penalties

Financial losses

Security risks and malware infections

Damage to company reputation

Therefore, software companies must always use licensed tools and applications.

Software Protection Methods

Software companies use different methods to protect their products from piracy and misuse:

Registration codes to verify legal users

Online activation systems to control installations

Media protection for installation files

Dongle-based security for hardware verification

Cloud authentication for secure access

These methods ensure that only authorized users can access the software.

Software Licensing

A software license defines how software can be legally used.

Common types include:

EULA (End User License Agreement): legal contract between user and company

Freeware: free software but still protected by copyright

Shareware: trial-based software with limited features

Limited license: restricted usage rights

Site license: allowed for use within an organization

Proprietary license: closed-source commercial software

Open-source license: source code available under certain condition.

Trademark Risks

Trademarks protect business identity such as company names, logos, app names, and domain names.

Before launching a product, companies must ensure:

The name is not already registered

The logo is unique

The domain is available

Failure to do so can result in legal disputes, rebranding costs, and loss of business identity.

IP Compliance Checklist (Practical Guidelines)

A software company must ensure:

Ownership of employee-created work is clearly defined

Client contracts clearly mention ownership rights

Open-source licenses are properly checked

Paid tools, fonts, and assets are legally purchased

External code from GitHub, Stack Overflow, or AI tools is reviewed

Trademark checks are done before branding

Confidential data and algorithms are protected as trade secrets

All licenses and receipts are properly recorded

In Short

Intellectual property protection is essential for any software business because digital products are valuable assets. A professional software company must protect its own work while respecting the rights of others. Proper use of copyright, trademarks, software licensing, and trade secret protection helps avoid legal issues and builds a trustworthy and professional business environment.

Anti-Discrimination and Workplace Policy

A professional software company must provide a safe, respectful, and fair workplace for all employees. Anti-discrimination principles are important because they ensure equal treatment of individuals regardless of gender, religion, race, disability, or social background. In Pakistan, these principles are supported through constitutional rights, labour laws, workplace harassment laws, and institutional policies.

For a software company that works with local and international clients, maintaining a professional and inclusive environment is necessary for both legal compliance and business success.

Equality Before Law and Non-Discrimination Principles

The Constitution of Pakistan supports equality before law and prohibits unfair discrimination. Every employee should be treated fairly based on skills, qualifications, and performance rather than personal identity or background.

Discrimination may occur on different grounds such as:

Gender

Religion

Race or ethnicity

Caste

Place of birth

Residence

Disability

Gender identity

Nationality or citizenship status

For example, rejecting a qualified software developer only because of religion or gender would be unfair and unprofessional. Similarly, denying equal salary or promotion opportunities due to personal background can create legal and ethical problems.

A software company should ensure that hiring, promotions, project assignments, and workplace treatment are based only on merit and professional ability.

Workplace Harassment and Safe Environment

Employers have a responsibility to maintain a safe and respectful workplace. Workplace harassment includes:

Verbal abuse

Offensive jokes or comments

Threatening behaviour

Unwanted messages or contact

Sexual harassment

Online harassment through company communication systems

Harassment negatively affects employee mental health, productivity, and company reputation. In the IT industry, where employees often communicate through emails, chats, and digital platforms, respectful communication is extremely important.

A company should create clear policies that discourage bullying, intimidation, discrimination, and harassment in both physical and online work environments.

Professional and Legal Risks of Discrimination

Discrimination in the workplace is not only unethical but also creates serious professional and legal risks.

Risks include:

Legal complaints and lawsuits

Loss of employee trust

Poor team performance

Reputation damage

Difficulty attracting skilled workers

Financial penalties

Discrimination can occur in:

Hiring decisions

Salary determination

Promotions

Training opportunities

Project allocation

Employee termination

Workplace behavior

For example, if a company repeatedly gives important software projects only to certain employees based on personal preference rather than ability, it can create workplace conflict and lower morale.

Modern software companies must build inclusive workplaces where employees feel respected and valued.

Anti-Discrimination Framework in Pakistan

Pakistan does not have one single private-sector anti-discrimination law that covers every situation. Instead, protections are spread across:

Constitutional principles

Labour laws

Harassment laws

Gender identity protections

Institutional and service rules

Organizations must therefore follow multiple legal and ethical responsibilities to maintain compliance.

For example:

Workplace harassment laws protect employees from abusive behaviour.

Labour rules support fair treatment and employee rights.

Gender identity protections promote respect for all individuals.

Software businesses should create internal workplace policies to ensure proper implementation of these principles.

Workplace Anti-Discrimination Policy

A. Equal Opportunity Statement

Our software company is committed to providing equal opportunities to all employees and applicants. Employment decisions will be based on merit, qualifications, skills, and performance without discrimination.

B. Prohibited Grounds of Discrimination

The company strictly prohibits discrimination based on:

Gender

Religion

Race or ethnicity

Disability

Caste

Nationality

Residence or place of birth

Gender identity

Marital status or age

Any unfair treatment based on these factors will not be tolerated.

C. Harassment and Hostile Work Environment Clause

The company prohibits all forms of harassment, bullying, intimidation, or offensive behaviour in the workplace and online communication systems.

Employees must maintain professional conduct in:

Meetings

Emails

Chats

Video calls

Social media interactions related to work

Creating a hostile or unsafe environment is considered misconduct.

D. Complaint Procedure and Reporting Channels

Employees may report discrimination or harassment through:

HR department

Direct supervisor

Official complaint email

Internal reporting system

Complaints should be investigated fairly and without delay.

E. Confidentiality and Protection from Retaliation

All complaints and investigations will remain confidential as much as possible. Employees who report concerns in good faith will be protected from retaliation, threats, or unfair treatment.

F. Investigation and Disciplinary Process

The company will:

1. Review the complaint
2. Collect evidence and statements
3. Conduct an impartial investigation
4. Take disciplinary action if misconduct is proven

Disciplinary actions may include:

Warning

Suspension

Termination of employment

G. Training, Awareness and Record-Keeping

The company will regularly provide:

Workplace ethics training

Harassment awareness sessions

Diversity and inclusion guidance

Record maintenance for complaints and investigations

Managers and team leaders will also receive training on professional workplace behaviour and employee rights.

In Short

Anti-discrimination principles are essential for building a professional and successful software company. A fair workplace improves teamwork, productivity, creativity, and employee satisfaction. By following ethical standards and maintaining clear workplace policies, software businesses can reduce legal risks and create a respectful environment for all employees.

Professional Bodies, Regulators and Industry Organizations

A software business in Pakistan does not operate in isolation. It must follow rules, regulations, and industry standards set by different government authorities and professional organizations. Some of these organizations are legal regulators that enforce laws, while others are industry or professional bodies that support growth, networking, education, and ethical standards in the IT sector.

For a software company developing websites, mobile applications, and AI tools, understanding these organizations is important for legal compliance, business registration, taxation, intellectual property protection, and professional development.

Legal Regulators and Authorities

Securities and Exchange Commission of Pakistan (SECP)

The Securities and Exchange Commission of Pakistan is the main authority responsible for company registration in Pakistan. It regulates private limited companies and ensures compliance with corporate laws.

For a software business, SECP is important because it:

Registers private limited companies

Issues incorporation certificates

Ensures corporate governance

Monitors legal compliance of companies

Federal Board of Revenue (FBR)

The Federal Board of Revenue is the main tax authority in Pakistan.

A software company must register with FBR for:

Income tax registration (NTN)

Filing annual tax returns

Maintaining tax compliance

Legal financial operations

Without FBR registration, a company cannot operate legally in the formal business sector.

Provincial Registrar of Firms

The Provincial Registrar of Firms is responsible for registering partnership firms under provincial laws.

It handles:

Registration of partnership businesses

Verification of partnership agreements

Legal recognition of firms

This authority is mainly relevant for businesses operating as partnerships instead of companies.

Provincial Revenue Authorities

The Provincial Revenue Authorities manage sales tax on services and other provincial taxes.

For software companies, they are important because:

Software services may be taxable

Companies must comply with provincial tax rules

Registration may be required depending on services offered

Intellectual Property Organization of Pakistan (IPO-Pakistan)

The Intellectual Property Organization of Pakistan is responsible for protecting intellectual property rights in Pakistan.

It deals with:

Copyright registration

Trademark protection

Patent registration

Industrial design protection

For software companies, IPO helps protect:

Source code

Application names

Logos

Digital products

Cyber Crime Investigation Authority

The National Cyber Crime Investigation Agency is responsible for investigating cyber crimes under Pakistan's cyber laws.

It handles:

Hacking cases

Online fraud

Identity theft

Cyber harassment

Digital evidence collection

Software companies must comply with cyber laws to avoid investigation or legal action.

Pakistan Telecommunication Authority (PTA)

The Pakistan Telecommunication Authority regulates telecom and communication systems in Pakistan.

It is relevant for software companies involved in:

Communication apps

Internet-based services

Digital platforms using telecom infrastructure

PTA ensures legal and secure use of communication technologies.

Industry Support and Development Organizations

Pakistan Software Export Board (PSEB)

The Pakistan Software Export Board is an organization that supports IT and software export companies.

It helps businesses by:

Promoting IT exports

Supporting startups

Providing industry facilitation

Connecting companies to international markets

Pakistan Software Houses Association (P@SHA)

The Pakistan Software Houses Association is an industry association representing software houses and IT companies.

Its role includes:

Industry networking

Policy advocacy

IT sector development

Supporting software companies in Pakistan

It is important to note that P@SHA is not a legal registration authority. It only supports and represents the IT industry.

Education and Accreditation Bodies

Higher Education Commission (HEC)

The Higher Education Commission oversees higher education institutions in Pakistan.

It ensures:

Quality education standards

University recognition

Academic development in IT fields

National Computing Education Accreditation Council (NCEAC)

The National Computing Education Accreditation Council accredits computing and IT degree programs.

It ensures that:

Software engineering programs meet quality standards

Graduates are industry-ready

Curriculum meets modern IT requirements

Professional Societies

IEEE

The Institute of Electrical and Electronics Engineers is a global professional organization.

It promotes:

Engineering standards

Technical research

Professional ethics

Innovation in technology

ACM

The Association for Computing Machinery is a global computing organization.

It focuses on:

Computing research

Software engineering standards

Professional development

Ethical computing practices

BCS

The British Computer Society is a professional body for IT professionals.

It supports:

Certification programs

Professional standards

Career development in computing

Important Distinction Between Organizations

It is very important to understand the difference between two types of organizations:

Legal Regulators

These organizations have legal authority over business registration, taxation, and compliance:

SECP

FBR

Provincial Registrar of Firms

Provincial Revenue Authorities

PTA

IPO-Pakistan

Professional and Industry Bodies

These organizations do not register companies but support the IT industry:

P@SHA

IEEE

ACM

BCS

PSEB

HEC and NCEAC

A software company in Pakistan must interact with multiple organizations to operate legally and professionally. Legal regulators ensure compliance with laws, taxes, and registration requirements, while industry and professional bodies support growth, innovation, and ethical standards.

Understanding these organizations helps a software business operate legally, build credibility, and grow successfully in both local and international markets.

Summary of the Assignment

This assignment presents a complete professional compliance report for a proposed software company in Pakistan that will develop websites, mobile applications, and AI-based tools for local and international clients. The purpose of the report is to ensure that the business operates in a legal, ethical, and professional manner before starting real operations.

The Introduction explains the purpose of the report and highlights the importance of following laws, ethics, and professional standards in the IT industry. The Business Structure section compares sole proprietorship, partnership firm, and private limited company, and recommends a private limited company due to its limited liability, scalability, and professional credibility.

The Cyber Crime Law section discusses key offences under Pakistan's cyber laws and explains how software professionals must ensure data security, privacy protection, and responsible digital behaviors. The Intellectual Property section explains copyright, trademarks, patents, software licensing, and piracy issues, emphasizing the need to protect software products and respect ownership rights.

The Anti-Discrimination section focuses on equality, workplace fairness, and prevention of harassment, highlighting the importance of a safe and inclusive working environment.

The Professional Bodies section identifies key regulators such as SECP, FBR, and IPO-Pakistan, along with industry organizations like P@SHA and IEEE that support compliance, growth, and professional development.

Overall,

the report shows that a successful software business must combine technical skills with legal compliance, ethical practices, and professional responsibility to operate effectively in both local and global markets.